

thereon would have been no higher than that obtainable from the senior fixed-interest obligation. (In 1939 Southern Railway Preferred, still paying no dividend, sold at 35 against a price of about 40 for the Mobile and Ohio 4% certificates. At these prices the advantage still appeared clearly on the side of the guaranteed issue.)

*Other and Less Certain Discrepancies.* In the foregoing examples the aberrations are mathematically demonstrable. There is a larger class of disparities between senior and junior securities that may not be proved quite so conclusively but are sufficiently certain for practical purposes. As an example of these, consider Colorado Industrial Company 5s, due August 1, 1934, guaranteed by Colorado Fuel and Iron Company, which in May 1933 sold at 43, while the Colorado Fuel and Iron 8% Preferred, paying no dividend, sold at 45. The bond issue had to be paid off in full within 14 months' time, or else the preferred stock was faced with the possibility of complete extinction through receivership. In order that the preferred stock might prove more valuable than the bonds bought at the same price, it would be necessary not only that the bonds be paid off at par in little over a year but that preferred dividends be resumed and back dividends discharged within that short time. This was almost, if not quite, inconceivable.

In comparing nonconvertible preferred stocks with common stocks of the same company, we find the same tendency for the latter to sell too high, relatively, when both issues are on a speculative basis. Comparisons of this kind can be safely drawn, however, only when the preferred stock bears cumulative dividends. (The reason for this restriction should be clear from our detailed discussion of the disabilities of noncumulative issues in Chap. 15.) A price of 10 for American and Foreign Power Company common when the \$7 Cumulative Second Preferred was selling at 11 in April 1933 was clearly unwarranted. A similar remark may be made of the price of  $21\frac{1}{2}$  for Chicago Great Western Railroad Company common in February 1927, against  $32\frac{1}{2}$  for the 4% preferred stock on which dividends of \$44 per share had accumulated.

It is true that if extraordinary prosperity should develop in situations of this kind, the common shares might eventually be worth substantially more than the preferred. But even if this should occur, the company is bound to pass through an intermediate period during which the improved situation permits it to resume preferred dividends and then to